

25SMCV06504 25SMCV06504

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-06-24

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Case Number: 25SMCV06504 Hearing Date: June 24, 2026 Dept: 207

TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

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24, 2026

CASE NUMBER

25SMCV06504

MATTER

Request

for Default Judgment

This case arises from a dispute over outstanding fees owed for legal

services rendered.

On December 16, 2025, Plaintiff Elite Business Attorney, Inc.

("Plaintiff") filed suit against Defendants Amrinder Singh Shergill

("Shergill") and Best Freightlines Inc. ("Best") (together, "Defendants")

alleging three causes of action for (1) breach of contract; (2) common counts;

and (3) Penal Code section 496.

Defendants were served with a copy of the summons and complaint via

substitute service on January 20, 2026.

Default was entered against Defendants on March 11, 2026. There are no Doe Defendants.

Plaintiff now seeks default judgment in the amount of \$55,809.80,

representing \$45,000 damages as demanded in the Complaint, costs in the amount

of \$1,209.80, and attorneys' fees in the amount of \$9,600.

A. Damages

Plaintiff's Complaint seeks \$25,000

in special damages and \$45,000 in treble damages. (Complaint at Prayer ¶¶ 1-3.) Therefore, Plaintiff does not seek damages

that are in excess of what is pled in the Complaint. (See Code Civ. Proc., §

580, subd. (a) ["The relief granted to the plaintiff, if there is no answer,

cannot exceed that demanded in the complaint"]; Levine v. Smith (2006)

145 Cal.App.4th 1131, 1136-1137 ["when recovering damages in a default

judgment, the plaintiff is limited to the damages specified in the complaint"].)

In support of the request, Plaintiff

advances the Declaration of Robert Grijalba, Plaintiff's principal, which provides:

2. As the principal of Plaintiff, I personally oversee and prepare invoicing and billing on all matters that the office handles.

Furthermore, I am the sole person authorized on behalf of Plaintiff to enter into fee agreements with clients.

3. On July 21, 2025, Defendants, on the one hand, and Plaintiff, on the other hand, entered into a written contract for legal services. A true and correct copy of same is attached as Exhibit "1" to the complaint.

4. Between July 23, 2025, and December 16, 2025, Plaintiff performed legal services for Defendants pursuant to the fee agreement and the requests of Defendants.

5. Starting August 2, 2025, and continuing to May 6, 2026, Plaintiff has invoiced Defendants for same, including late fees and interest on past amounts due, however, Defendants have failed to pay same. True and correct copies of invoice nos. 1 through 5 are attached as Exhibit "2" through Exhibit "6" to the complaint. True and correct copies of invoice nos. 6 and 7 are attached as Exhibit "A" to this declaration.

6. The total sum of said invoices is \$15,219.85. It is this

amount that Plaintiff has incurred in damages, the treble amount of which is being sought in Plaintiff's third cause of action under Penal Code § 496, subject to the cap of \$45,000 as stated in the complaint.

(Grijalba

Decl. ¶¶ 2-6.) The agreement

attached to the Complaint is signed twice by Shergill, in both his individual capacity and as a representative of Best Freightliners Inc.

Therefore,

Plaintiff has adequately substantiated the requested \$15,219.85 in damages.

B. Treble Damages

Plaintiff

seeks treble damages pursuant to Penal Code section 496, which provides:

Every person who buys or receives any

property that has been stolen or that has been obtained in any manner

constituting theft or extortion, knowing the property to be so

stolen or obtained, or who conceals, sells, withholds, or aids in concealing,

selling, or withholding any property from the owner, knowing the

property to be so stolen or obtained, shall be punished by imprisonment

in a county jail for not more than one year, or imprisonment pursuant to

subdivision (h) of Section 1170. However, if the value of the property does not exceed nine hundred fifty dollars (\$950), the offense shall be a misdemeanor, punishable only by imprisonment in a county jail not exceeding one year, if such person has no prior convictions [...]

(Pen. Code, § 496, subd. (a), emphasis

added.) Section 496, subdivision (c)

provides that any person who has been injured by a violation of subdivision (a)

may bring an action for three times the amount of actual damages, and

reasonable attorneys' fees. (Pen. Code,

§ 496, subd. (c).)

But

here, Plaintiff alleges the Defendants owe Plaintiff for services

rendered, not any stolen property.

Plaintiff

argues that the services can constitute "property" under Penal Code section 496

because *People v. Norwood* (1972) 26 Cal.App.3d 148 held that "anything

that could be the subject of a theft can also be property under Penal Code

section 496" and Penal Code section 484, subdivision (a) includes "labor" or

"services" as capable of being the subject of theft.

The

Court disagrees that Norwood stands for the proposition that “property”

as used in Penal Code section 496 can be interpreted to include services. Although Norwood contains the phrase,

“anything that could be the subject of a theft can also be property under Penal

Code section 496,” it was referring to the theft of a warrant issued by a

public body from the mailbox of the payee.

Further,

the fact that Penal Code section 484 specifically includes money, property, and

“the labor or service of another” demonstrates the legislature could have, but

chose not to, include labor or services within the ambit of Section 496, which refers

only to property, merchandise, and “personal property.” Further, the fact that Section 496

specifically addresses swap meet vendors demonstrates that in passing Section

496, the legislature was chiefly concerned with the theft of personal property,

not labor or services.

Therefore,

Plaintiff has not adequately substantiated the request for treble damages,

pursuant to Penal Code section 496.

C. Attorneys’ Fees and Costs

Code of Civil Procedure

section 1033.5, which outlines recoverable costs to a prevailing party under

Code of Civil Procedure section 1032, permits the recovery of attorneys’ fees

when authorized by contract, statute, or law.

(Code Civ. Proc., § 1033.5, subd. (a)(10).) Code of Civil Procedure section 1021 provides

“[e]xcept as attorney’s fees are specifically provided for by statute, the

measure and mode of compensation of attorneys and counselors at law is left to

the agreement, express or implied, of the parties [....]”

Similarly, Civil Code section

1717 provides “[i]n any action on a contract, where the contract specifically

provides that attorney’s fees and costs, which are incurred to enforce that

contract, shall be awarded either to one of the parties or to the prevailing

party, then the party who is determined to be the party prevailing on the

contract, whether he or she is the party specified in the contract or not,

shall be entitled to reasonable attorney’s fees in addition to other costs.” (Civ. Code, § 1717, subd. (a).)

The Code of Civil Procedure defines the “prevailing party” as follows:

[T]he party with a net monetary recovery, a

defendant in whose favor a dismissal is entered, a defendant where neither

plaintiff nor defendant obtains any relief, and a defendant as against those

plaintiffs who do not recover any relief against that defendant. If any party

recovers other than monetary relief and in situations other than as specified,

the “prevailing party” shall be as determined by the court, and under those

circumstances, the court, in its discretion, may allow costs or not and, if

allowed, may apportion costs between the parties on the same or adverse sides

pursuant to rules adopted under Section 1034.

(Code

Civ. Proc., § 1032, subd. (a)(4).)

Paragraph 14 of the agreement

attached to the Complaint (as authenticated by the Grijalba Declaration)

provides:

14. ATTORNEY'S FEES

The prevailing party in any action or proceeding

arising out of or to enforce any provision of this Agreement, with the

exception of a fee arbitration or mediation under Business and Professions Code

Sections 6200-6206, will be awarded reasonable attorney's fees and costs

incurred in that action or proceeding, or in the enforcement of any judgment or

award rendered.

(Ex.

1 to Complaint at ¶ 14.)

Plaintiff seeks attorneys' fees

actually incurred in the amount of \$9,600.00, representing 16 hours of attorney

time at a rate of \$600 per hour.

(Grijalba Decl. re Fees & Costs at ¶ 4.)

Local Rule 3.214 provides that the

default reasonable attorney fee award on a principal balance between \$10,000.01

and \$50,000 is calculated as \$690 plus 3% of the excess over \$10,000. Here, 3% of \$5,000 is \$150, plus \$690 equals \$840.

While Plaintiff

is not strictly limited to the reasonable attorney fee award as outlined in

Local Rule 3.214, Plaintiff must adequately demonstrate that a higher fee award

is reasonable under the circumstances. Plaintiff's

counsel explains that fees were incurred as follows:

4. To date, I have expended a total of 16 hours in this matter,

which includes preparation of the complaint, civil case cover sheets, and

summons and processing filing and service orders of same (3.1), correspondence

with Defendants (0.1), preparation of two requests for entry of default and

processing filing and service orders of same (1.0), review and analysis of

court clerk rejection notice of request for entry of default (0.2), preparation

of case summary and two declarations in support of default judgment,

application for default judgment and proposed default judgment and processing

filing and service orders of same (7.6), conference with Superior Court of

California, County of Los Angeles – Dept. 207 regarding status of default

judgment (0.2), preparation of case management conference statement and

processing filing and service orders of same (0.3), appear at case management

conference (1.5), review and analysis of tentative ruling on application for default judgment (0.2), review and analysis of legal and statutory authority regarding definition of “property” under Penal Code § 496 for purposes of addressing issues raised in tentative ruling on application for default judgment (0.5), and amending of case summary and two declarations in support of default judgment, application for default judgment and proposed default judgment and processing filing and service orders of same (1.3). 16 hours at \$600.00 an hour translates to \$9,600.00 in attorney's fees, which amount I intend to bill to Plaintiff for the work performed on this matter. It is this amount that Plaintiff seeks to recover in attorney's fees pursuant to section 14 of the fee agreement.

(Grijalba Decl. ¶ 4.)

The

Court finds the time requested to be objectively unreasonable. In particular, the Court finds it unreasonable to award 7.6 + 1.3 hours to prepare the default judgment package and 3.1 hours to prepare the complaint. As such, the

Court reduces the requested attorneys' fees by 8.7 hours or \$5,220, and awards attorneys' fees reasonably incurred in the amount of \$4,380.

Plaintiff also requests \$1,209.80 in costs composed of \$598.30 in filing fees and \$611.50 in process server fees. (CIV-100.) Plaintiff's request for costs is granted as

Plaintiff is the prevailing party in this action. (Code Civ. Proc., § 1032,

subd. (a)(4).)

CONCLUSION

Plaintiff has

only shown it is entitled to judgment in the amount of \$20,809.65, composed of \$15,219.85 principal

fees owed for services rendered, \$4,380 in reasonable attorneys' fees, and \$1,209.80

in costs.

If Plaintiff

submits to the Court's tentative ruling, the Court will enter judgment in conformity

with the ruling.

DATED: June 24, 2026 /s/ _____

Michael

E. Whitaker

Judge

of the Superior Court